Day Trading Mastery

Module 3 Study Guide

Reading Candlestick Patterns

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Anatomy of a Candlestick

In this lesson: The OHLC Data; Candlestick Body Structure; Upper and Lower Wicks; Reading Bu

Key points

- Candlesticks record Open, High, Low, and Close @ "Every candlestick reveals four crucial data points: Open, High, Low, and Close."
- Solid body measures net change in price @ "solid body measures the net change between the open and close"
- Wicks display price extremes and market rejection @ "wicks show the extreme prices tested and rejected during the session."

Examples from the lesson

- I'm glad you could join us today for Module 3 of our Day Trading Mastery course, titled "Reading Candlestick Patterns."
- In this very first lesson of the module, Lesson 1, we are looking at the "Anatomy of a Candlestick."
- Every candle tells a complete story of a battle between buyers and sellers over a specific timeframe, whether that is one minute, five minutes, or one whole trading day.
- Every single candlestick gives you four key pieces of price information: the Open, the High, the Low, and the Close.
- Wicks represent price rejection—they show where one group tried to push the price, but got pushed back.
- Imagine we are looking at a daily candlestick for a local company trading at TT$50.00 when the market opens in the morning.
- Buyers step in with strong enthusiasm and drive the price up to a high of TT$55.00 by mid-day.
- Later in the afternoon, sellers try to push back and bring the price down to a low of TT$48.00.
- However, right before the closing bell rings, buyers regain control and force the market to close at TT$53.00.
- Because the close of TT$53.00 is higher than the open of TT$50.00, our candlestick has a green body covering that TT$3.00 gain.

- The top wick stretches up to TT$55.00, showing where sellers rejected higher prices, while the bottom wick reaches down to TT$48.00, showing where buyers aggressively defended lower prices.
- Every candlestick reveals four crucial data points: Open, High, Low, and Close.
- In our next lesson, Lesson 2: Key Single and Double Candle Patterns, we will build on this foundation by learning how specific candle shapes predict major market moves.

Lesson 2: Key Single and Double Candle Patterns

In this lesson: Understand Doji Indecision; Identify Hammer Rejections; Spot Engulfing Shifts; A

Key points

- Dojis show indecision and Hammers show rejection @ "learned how to identify Dojis as signs of market"
- Engulfing patterns signal decisive shifts in momentum @ "Bullish Engulfing patterns as strong shifts toward buying"
- Always combine candle shapes with volume and support @ "look for these patterns at key support or resistance"

Examples from the lesson

- This is Day Trading Mastery, Module 3: Reading Candlestick Patterns, and today we are diving into Lesson 2: Key Single and Double Candle Patterns.
- Imagine two maxi taxis pulling up to a stop at the same time, both fighting for the exact same passengers, and neither pulling ahead.
- This pattern consists of two candles: a small red candle followed immediately by a much larger green candle whose body completely covers, or engulfs, the previous red candle's body.
- Imagine the stock has been drifting downward all morning, dropping to an open of TT$ 45.00 on a small red candle, where sellers push the close down to TT$ 44.00.
- That gives us a small red candle body of TT$ 1.00 representing weak selling momentum.
- The second candle opens at TT$ 43.80, slightly lower than the previous close, but buyers quickly take full control of the session.
- They drive the price all the way up to close at TT$ 46.50.
- This creates a massive green candle with a body size of TT$ 2.70, which completely engulfs the previous TT$ 1.00 red body.
- When you analyze this structure, the TT$ 2.70 green expansion easily swallows the TT$ 1.00 red candle, creating a net bullish body difference of TT$ 1.70.
- We also worked through a TT$ example to see how a TT$ 2.70 green body overwhelmed a TT$ 1.00 red body to confirm bullish momentum.
- In our next lesson, Lesson 3: Multi-Candle Patterns in Live Conditions, we will build on these single and double shapes to analyze complex three-candle formations under real-time market volatility.

Lesson 3: Multi-Candle Patterns in Live Conditions

In this lesson: Trend Alignment; Volume Confirmation; Pattern Structure; Risk Calculation.

Key points

- Multi-candle patterns require trend and volume confirmation
- Calculate position size based on strict 2 percent risk limit
- Volume surges confirm real institutional market participation

Examples from the lesson

- You are tuned into Day Trading Mastery, Module 3: Reading Candlestick Patterns, Lesson 3: Multi-Candle Patterns in Live Conditions.
- Today, we are taking a major leap forward by combining three-candle setups with trend context and volume confirmation so you can trade with true conviction on your chart.
- One stopped maxi does not mean the entire road is blocked, but when three maxis in a row pull over and start hazards, you know the movement on the pitch road has completely shifted.
- In the market, patterns like the Morning Star or Three White Soldiers show us that momentum is actively changing hands.
- However, recognizing a three-candle shape on your screen is only half the battle.
- Let us walk through a complete live setup using a local trading example involving TT$ 10,000 in capital.
- You see that during the small middle candle, volume dried up completely, but on that third green candle, volume spiked by 80 percent above the 20-period average.
- You calculate your position size on your TT$ 10,000 account, risking exactly 2 percent, which equals TT$ 200 of capital risk.
- You set your entry price right at the close of the third candle at TT$ 50 per share.
- You place your stop-loss just below the low of the Morning Star pattern at TT$ 48 per share.
- That creates a distinct price risk of TT$ 2 per share.
- Dividing your maximum risk of TT$ 200 by the TT$ 2 risk per share gives you a calculated position size of 100 shares.
- To open this position, your total capital outlay is 100 shares multiplied by TT$ 50, which equals TT$ 5,000 of your account equity.
- Next, you set a conservative take-profit target at the next major resistance level of TT$ 56 per share, giving you a potential upside gain of TT$ 6 per share.
- With a risk of TT$ 2 per share and a reward target of TT$ 6 per share, your trade offers a clean 3-to-1 reward-to-risk ratio.
- If the trade hits your target, your gross profit is 100 shares times TT$ 6, which yields a profit of TT$ 600.
- Subtracting your estimated round-trip brokerage transaction fees of TT$ 30 leaves you with a clean net trade profit of TT$ 570 on the setup.

- Next up, we are moving into Module 4: Technical Indicators and Moving Averages, starting with Lesson 1: Dynamic Support and Resistance with Moving Averages.

Recap checklist — can you say each one?

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☐ Wicks display price extremes and market rejection @ "wicks show the extreme prices tested and rejected during the session."

Lesson 2: Key Single and Double Candle Patterns

☐ Dojis show indecision and Hammers show rejection @ "learned how to identify Dojis as signs of market"

☐ Engulfing patterns signal decisive shifts in momentum @ "Bullish Engulfing patterns as strong shifts toward buying"

☐ Always combine candle shapes with volume and support @ "look for these patterns at key support or resistance"

Lesson 3: Multi-Candle Patterns in Live Conditions

☐ Multi-candle patterns require trend and volume confirmation

☐ Calculate position size based on strict 2 percent risk limit

☐ Volume surges confirm real institutional market participation